First, by bringing taxation of all ‘incomes’ (capital gains, which is a valuation gain on an asset, which should be treated as part of wealth taxation) under one system of direct or income taxation—whether these incomes are from businesses, wages or wealth. Incomes earned or accruing to businesses in the form of profits generated or incomes earned or accruing to workers as salaries or wages or in any form (allowances, bonuses, ESOPs), which are essentially a variant of salary or wages or arising from wealth or assets (rent, dividend), should be taxed under this single income tax law. Indian income tax law does have all the three basic forms of income—wages, profits and income from wealth—under the law but it also deals with taxation of capital gains and other benefits from the assets.

Second, by bringing a fragmented system of taxation of value added (customs, excise, value added, GST) under a single law of indirect or value-added taxation. Value is added in the production of goods, services and assets. While the system of value addition taxation for goods and services has been consolidated in the form of GST (there are still many parts outside), creation and construction of real assets, whether a house, factory, warehouse or any other physical asset, still lacks a good value-added taxation system. The indirect or value-added taxation system should also be applicable to all businesses, small or big, producing goods, services or assets.

Third, by bringing all assets (or ‘wealth’), whether physical or financial, visible or invisible (goodwill, brands), under one wealth taxation system. The wealth taxation system is most fragmented and non-existent for many assets. Creation of one single system of wealth taxation would require drastic reforms of the existing taxation system on property (property taxes, stamp duties), capital gains (currently done in a fragmented form as part of income taxes) and many other taxes (royalties, premium on sale of land, etc.).